

## Response to Editor

Dear Professor Mueller,

We begin by thanking you for the candid and well-meant advice regarding the timeline of our revision. You are right: a three-year turnaround was far too long, and we should have kept you informed of our progress at regular intervals rather than going silent. The delay was driven almost entirely by the decision to undertake a complete reconstruction of the dataset—a process that proved substantially more time-consuming than we had anticipated—but that context does not excuse the lack of communication. We are genuinely grateful that you honored the original R&R decision despite the circumstances, and we will take your counsel seriously going forward.

We thank the editor and referees for their continued engagement with our paper. Below we provide a brief summary of the main changes in this revision and then respond to each comment in turn.

- **Stock-return analysis (R2).** R2 asked for a fuller treatment of the stock market evidence around the legal events. That evidence now appears in a dedicated table (Table 1, in the main text) and four event-study figures (Internet Appendix Figures IA.2–IA.5), and a new Internet Appendix section covers every intermediate judicial event, none of which produced a significant differential. The examination the referee suggested also identified an additional meaningful event, the November 1934 certiorari grant and midterm election, now part of the main analysis. Gold-exposed firms significantly outperformed non-exposed firms around the Joint Resolution and the November 1934 window, supporting the paper’s identification.
- **Robustness with the full set of fixed effects (R6).** R6 asked to see the characteristic-control specifications with industry-year fixed effects included. New Internet Appendix Table IA.19 reports all of them. The 1933 effect is essentially unchanged and remains significant; the 1934 effect attenuates and mostly loses significance, without sign reversals, and Section 5 now discusses this sensitivity and its source directly.
- **Limitations of the exposure measure (R6).** R6 asked the paper to be more upfront about the fact that gold exposure is entangled with the debt-versus-preferred composition of

a firm’s fixed claims. Section 5.5 now closes with an explicit limitations discussion, stating that our placebo and control strategies mitigate but cannot fully eliminate this concern.

- **Pre-trends (R6).** R6 noted that the litigation-year coefficients cannot be statistically distinguished from individual pre-treatment estimates such as the 1930 coefficient. Section 5.2 now acknowledges this directly and clarifies that the support for the parallel-trends assumption rests on the full pre-treatment pattern.
- **Liberty bond discussion (R2).** R2 asked for the appropriate context for the Liberty Bond price increase during the January 1935 arguments. The historical section now explains that, as gold-denominated government obligations, their rising prices reflected expectations that the government could lose the case, and the missing *New York Times* citation has been added.

**Corrections identified while rebuilding the replication code.** As part of this revision we rebuilt the paper’s replication code end to end, so that every table and figure regenerates from the raw data. This exercise surfaced two issues in Table 4 of the previous draft, which we have corrected; neither affects any result the paper relies on. First, the note to column 5 misdescribed the specification: the column uses an alternative exposure measure that scales gold-clause debt by the firm’s total fixed claims (bank debt, bonds, and preferred shares), rather than the baseline  $\tilde{d}$  on a restricted sample. This is purely a labeling issue: the column header, the table note, and the corresponding text in Section 5 now describe the specification correctly, and the estimates are unchanged. Second, the “no redemption” sample of column 4 (and of Internet Appendix Table IA.12, column 1) inadvertently excluded 37 unexposed firms that lacked a prior-year observation during 1931–1935, an artifact of missing-value handling in the original code; the revised sample excludes only the 90 firms that retired their gold-clause debt during the litigation window. The only significance change is that the marginally significant  $1928 \times \tilde{d}$  interaction in column 4 loses its 10% star. We report column 4 before and after the correction below.

|                         | Column 4 (No redemption) |                      |
|-------------------------|--------------------------|----------------------|
|                         | Round 1                  | Revised              |
| Q                       | 0.085***<br>(0.015)      | 0.086***<br>(0.014)  |
| $\tilde{d}$             | -0.097**<br>(0.033)      | -0.094**<br>(0.034)  |
| $1926 \times \tilde{d}$ | 0.057**<br>(0.021)       | 0.061**<br>(0.022)   |
| $1927 \times \tilde{d}$ | 0.026<br>(0.028)         | 0.010<br>(0.030)     |
| $1928 \times \tilde{d}$ | 0.061*<br>(0.030)        | 0.039<br>(0.031)     |
| $1929 \times \tilde{d}$ | 0.046<br>(0.029)         | 0.040<br>(0.029)     |
| $1930 \times \tilde{d}$ | -0.018<br>(0.022)        | -0.024<br>(0.022)    |
| $1931 \times \tilde{d}$ | 0.004<br>(0.014)         | 0.004<br>(0.014)     |
| $1933 \times \tilde{d}$ | -0.068***<br>(0.013)     | -0.064***<br>(0.013) |
| $1934 \times \tilde{d}$ | -0.032***<br>(0.011)     | -0.036***<br>(0.010) |
| $1935 \times \tilde{d}$ | 0.025**<br>(0.010)       | 0.027**<br>(0.010)   |
| $1936 \times \tilde{d}$ | 0.001<br>(0.012)         | 0.006<br>(0.011)     |
| $1937 \times \tilde{d}$ | 0.015<br>(0.016)         | 0.005<br>(0.016)     |
| $1938 \times \tilde{d}$ | 0.000<br>(0.019)         | 0.009<br>(0.019)     |
| $1939 \times \tilde{d}$ | -0.021<br>(0.015)        | -0.025<br>(0.016)    |
| $1940 \times \tilde{d}$ | -0.005<br>(0.016)        | -0.013<br>(0.016)    |
| $R^2$                   | 0.221                    | 0.224                |
| Observations            | 5,572                    | 5,918                |

The rebuild surfaced three smaller corrections in the same category. First, the standard errors in column 7 of Table 4 (the bank-debt placebo) were inadvertently clustered by firm only in the previous draft; they are now two-way clustered by firm and year, like every other column. The coefficients are unchanged; two pre-period placebo interactions become significant at conventional levels, and the litigation-year cells remain insignificant. Second, the stock-return series in Section 3 are now built directly from CRSP daily returns; the previous draft's figures came from an inter-

mediate spreadsheet extract that contained an error (the Joint Resolution returns, for example, change from 11.7% and 27.2% to 12.1% and 31.4%), and the post-argument window is now defined by the documented press dates (January 11–17, 1935). Table 1 and the event figures reflect the corrected series. Third, the firm count and summary statistics in Panel C of Table 2 have been corrected (503 firms rather than 594). None of these corrections affects any result the paper relies on.

Once again, we are grateful for the opportunity to revise our paper for possible publication at the Review of Financial Studies. We believe the comments and suggestions of the entire review team have substantially improved the manuscript. We look forward to hearing back from you.

Sincerely,

Joao Gomes, Mete Kilic, and Sebastien Plante

## REFERENCES